Business plan — Riverside Supplies

Executive Summary

Riverside Supplies a retail business at the startup stage in a mid-sized city.

It needs 180,000.00 in startup funding: 60,000.00 of owner equity and 120,000.00 of debt.

Year 1 revenue is planned at 48,165.00 and net income at -162,407.04; monthly break-even is 2,267.21 units.

What the case does not state: the customer problem, the team and the milestones. They are named as gaps below rather than invented.

Company Description

Riverside Supplies a retail business at the startup stage in a mid-sized city.

Legal structure: not stated; the form of organisation is a decision the owner has not made in the case.

Ownership: not stated beyond the 60,000.00 of owner equity.

Market Analysis

Market size (TAM/SAM/SOM) is not computed: annual spend per customer, serviceable share and obtainable share are not all stated.

Products and Services

Average selling price: 9.50 per transaction.

Variable cost: 35.0% of revenue; contribution 65.0%.

Marketing and Sales Plan

Monthly marketing spend: not stated as its own line.

Channels, messages and conversion assumptions are not stated in the case; they are a gap, not a claim.

Operations Plan

Trading days: 26.00 a month.

Monthly fixed operating cost: 14,000.00.

Management and Organisation

The case names no owners, roles or experience, so no management claim is made here.

Owner equity is 60,000.00.

Financial Plan

Startup cost: 152,800.00. Sources: 180,000.00, of which 120,000.00 is debt.

Year 1 revenue 48,165.00; net income -162,407.04; closing cash -103,352.52.

Break-even 2,267.21 units a month at 21,538.46 revenue.

Payback on owner equity is not reached within the horizon.

Risk Analysis and Mitigation

Cash: the closing balance turns negative — monthly closing cash 55425.69616852514813790826086, 49456.89233705029627581652172, 45093.58850557544441372478258, 28689.03467410059255163304345, 12284.48084262574068954130432, -4120.07298884911117255043481

Funding: the declared sources do not equal the declared uses — sources 180000 vs uses 152800

Demand: break-even revenue is 21,538.46 a month against a planned peak of 18,525.00.

Implementation Timeline and Milestones

The case does not state opening dates or milestones, so none are invented.

Appendices

The workbook carries the tables: startup budget, sources and uses, monthly and annual statements, loan schedule, break-even, sensitivity, ratios and the checks.

Financial summary

Startup cost: 152,800.00.

Funding: owner equity 60,000.00, loan 120,000.00, total 180,000.00.

Year 1 revenue: 48,165.00; Year 1 net income: -162,407.04.

Monthly fixed cost: 14,000.00; break-even 2,267.2 units a month.

Startup budget

Contingency: 8,000.00

Equipment: 62,000.00

Inventory: 7,500.00

Premises: 55,000.00

Working Capital: 20,300.00

Total startup cost: 152,800.00

Sources and uses

Owner equity: 60,000.00

Bank loan: 120,000.00

Total sources: 180,000.00

Total uses: 152,800.00

Sales forecast

Month 1: 13,585.00

Month 2: 16,055.00

Month 3: 18,525.00

Year 1 total: 48,165.00

Operating costs

Fixed monthly cost: 14,000.00

Payroll on-cost rate: None

Depreciation

Straight-line annual charge: 16,714.29

Total over the life: 50,142.86

Loan schedule

Year 1: interest 9,000.00, principal 20,659.77, closing balance 99,340.23

Year 2: interest 7,450.52, principal 22,209.25, closing balance 77,130.99

Year 3: interest 5,784.82, principal 23,874.94, closing balance 53,256.04

Payment: 29,659.77

Pro forma (Years 1-3)

Year 1 | Year 2 | Year 3

Revenue: 48,165.00 | 48,165.00 | 48,165.00

Gross profit: 31,307.25 | 31,307.25 | 31,307.25

Operating profit: -153,407.04 | -153,407.04 | -153,407.04

Interest: 9,000.00 | 7,450.52 | 5,784.82

Tax: 0.00 | 0.00 | 0.00

Owner withdrawals: 0.00 | 0.00 | 0.00

Net income: -162,407.04 | -160,857.55 | -159,191.86

Operating cash: -138,192.75 | -144,143.27 | -142,477.57

Net cash: -158,852.52 | -166,352.52 | -166,352.52

Closing cash: -103,352.52 | -269,705.03 | -436,057.55

Year 1 monthly

Month | Revenue | Net income | Closing cash

1 | 13,585.00 | -7,312.61 | 55,425.70

2 | 16,055.00 | -5,696.77 | 49,456.89

3 | 18,525.00 | -4,080.86 | 45,093.59

4 | 0.00 | -16,111.64 | 28,689.03

5 | 0.00 | -16,101.10 | 12,284.48

6 | 0.00 | -16,090.50 | -4,120.07

7 | 0.00 | -16,079.83 | -20,524.63

8 | 0.00 | -16,069.10 | -36,929.18

9 | 0.00 | -16,058.30 | -53,333.73

10 | 0.00 | -16,047.43 | -69,738.29

11 | 0.00 | -16,036.49 | -86,142.84

12 | 0.00 | -16,025.48 | -102,547.40

Break-even

Break-even units a month: 2,267.2

Break-even revenue: 21,538.46

Contribution per unit: 6.18

Returns

Payback: not reached within the three-year horizon.

Sensitivity

Profit grid: rows are the ticket change, columns the volume change.

Price row 1 | -13,694.34 | -13,660.38 | -13,626.41

Price row 2 | -13,638.76 | -13,598.62 | -13,558.49

Price row 3 | -13,583.19 | -13,536.88 | -13,490.56

Variable cost change -0.05: break-even 2,105.3 units

Variable cost change 0: break-even 2,267.2 units

Variable cost change 0.05: break-even 2,456.1 units

Checks

H1 FAIL — sources 180000 vs uses 152800

H2 PASS — assets equal liabilities plus equity in 3 period(s)

H3 PASS — closing cash is part of total assets

H5 PASS — net income agrees with operating profit less interest and tax

H4 FAIL — monthly closing cash 55425.69616852514813790826086, 49456.89233705029627581652172, 45093.58850557544441372478258, 28689.03467410059255163304345, 12284.48084262574068954130432, -4120.07298884911117255043481

H6 PASS — closing loan balance 0

H7 PASS — no capacity was declared

H8 PASS — class charges sum to 16714.28571428571428571428571

H9 PASS — units x contribution - fixed = 0E-23

H10 PASS — totals are the core's own sums

Reasonableness warnings

Debt service cover -4.61 in year 1 is below 1.25.

Debt service cover -4.61 in year 2 is below 1.25.

Debt service cover -4.61 in year 3 is below 1.25.

Ratios (Year 1)

Gross Margin: 0.6500

Operating Margin: -3.1850

Net Margin: -3.3719

Return On Assets: 52.9565

Return On Equity: 1.5859

Debt To Equity: -0.9701

Equity Multiplier: 0.0299

Interest Cover: -17.0452

Asset Turnover: -15.7053

Receivables Days: 0.0000

Inventory Days: 0.0000

Payables Days: 0.0000

Cash Flow Margin: -2.8692

Cash Flow To Debt: -1.3911

Accruals Ratio: 7.8956

Assumptions

Useful life - Leasehold improvements: 7 years (default; used in Depreciation)

Useful life - Kitchen and bakery equipment: 7 years (default; used in Depreciation)

Useful life - Furniture and fixtures: 7 years (default; used in Depreciation)

Tax basis: Declared effective tax rate from the brief; it overrides the jurisdiction preset; state tax excluded; not a tax return (declared; used in Tax)

Opening cash: funding left after fixed assets, inventory and pre-opening costs (model; used in Balance sheet)

Straight-line depreciation, no salvage: declared method (default; used in Depreciation)

Gaps

payback: the declared cash flows do not recover the investment within 3 periods

market sizing: not computed; declare population, annual spend per customer, serviceable share, obtainable share

Bibliography

City Health Department (2025) ‘Community Kitchen Guidelines’

The last 1 source above was declared in the brief; the product neither fetched nor verified it.